LAURA NICOLAE

lauranicolae@g.harvard.edu
Cell 785-338-1188
www.lauranicolae.com

HARVARD UNIVERSITY

Littauer Center M-33
1805 Cambridge St
Cambridge MA 02138

Placement Director: Myrto Kalouptsidi myrto@fas.harvard.edu 617-496-0832
Placement Director: Oleg Itskhoki itskhoki@fas.harvard.edu 617-495-2144
Administrative Director: Brenda Piquet bpiquet@harvard.edu 617-495-8927

Education

Harvard University
Ph.D., Business Economics, 2021 to 2027 (expected)
M.A., Business Economics, 2023
B.A., Applied Mathematics, *magna cum laude* with Highest Honors in Field, 2020

Fields

Financial Economics, Macroeconomics

References

Jeremy Stein
Littauer Center, 1805 Cambridge St
Cambridge, MA 02138
jeremy_stein@harvard.edu

Sam Hanson
Baker Library, Soldiers Field Road
Boston, MA 02163
shanson@hbs.edu

Gabriel Chodorow-Reich
Littauer Center, 1805 Cambridge St
Cambridge, MA 02138
chodorowreich@g.harvard.edu

Mark Egan
Baker Library, Soldiers Field Road
Boston, MA 02163
megan@hbs.edu

Adi Sunderam
Baker Library, Soldiers Field Road
Boston, MA 02163
asunderam@hbs.edu

Job Market Paper

Portfolio Substitution and the Effects of Bank Capital Regulation (Link)

Banks allocate their portfolios across different types of loans and securities. A large literature finds that stronger capital requirements reduce bank lending, but these studies generally estimate the total bank-level response to a change in regulation that shifts multiple assets' regulatory costs simultaneously. Evaluating counterfactual policies that impose a different pattern of regulatory penalties across assets from those observed in the data requires a model of how an asset's supply responds to its own regulatory cost versus how it responds to those of other assets. I develop a structural framework and empirical method to estimate asset-level supply elasticities separately from portfolio substitution. I use changes in bank-level requirements that change the regulatory penalties of different assets by different amounts, while the model's portfolio adding-up constraint links each asset's supply response to the regulatory penalties of all other assets. My method recovers positive supply elasticities for every asset category, with securities holdings responding more to regulatory costs than loans. Its predictions match out-of-sample bank portfolio responses to changes in capital regulation. Applying these estimates to the post-crisis strengthening of capital regulation, I argue that stronger capital requirements account for about 28% of large banks' shift from lending to securities since 2011.

Publications

The Evolution of Banking in the 21st Century: Evidence and Regulatory Implications
with Samuel G. Hanson, Victoria Ivashina, Jeremy C. Stein, Adi Sunderam, and Daniel K. Tarullo.
Brookings Papers on Economic Activity, Spring 2024.

As revealed by the failures of three regional banks in the spring of 2023, bank runs are not a thing of the past. To inform the ongoing discussion of the appropriate regulatory response, we examine trends in the banking industry over the last twenty-five years. On the liability side of bank balance sheets, deposits—and especially uninsured deposits—have grown rapidly. On the asset side, there has been a notable shift away from the information-intensive lending traditionally associated with banks and towards longer-term securities such as MBS and long-term Treasuries. These trends appear to be related, in the sense that banks with the most rapid growth in deposits have seen the

biggest declines in loans as a share of assets. Thus, while the banks that failed in early 2023 were arguably extreme cases, they reflect broader trends, especially among larger banks. We construct a simple model to help assess the main regulatory options to reduce the risk of destabilizing bank runs—expanding deposit insurance and strengthening liquidity regulation— and argue that the industry trends we document favor the latter option. Using the model, we offer some design considerations for modifying the Liquidity Coverage Ratio so as to require banks to pre-position sufficient collateral—largely in the form of short-term government securities—at the Federal Reserve's Discount Window to ensure they have enough liquidity to withstand a run on their uninsured deposits. We also comment briefly on some other regulatory implications of our findings, including for interest rate risk regulation and merger policy.

Working Papers

The Effect of Inflation-Indexation on Employment: Evidence from Belgium
with Gert Bijnens (National Bank of Belgium), Helene Hall and Hugo Monnery (formerly Ph.D. Candidates, Harvard University)

In Belgium, nearly all employees' wages are indexed to inflation. Firms are grouped into longstanding labor agreements that determine the exact timing and frequency at which wages are indexed, e.g. every year versus every month. Using firm-level administrative data, we leverage the resulting variation in real wages across firms to estimate the employment response. We find that employment contracts by 0.4% over four quarters for each 1% increase in wages. This result is robust to including NACE sector-date fixed effects and to using only variation in firms' indexation timing, controlling for their chosen indexation frequency. About one-third of the response comes via anticipation of future wage increases. The elasticity is more than twice as large in magnitude in the post-pandemic period than before it, suggesting strong nonlinearities. Overall, these results show that, by preventing inflation from reducing real wages, inflation indexation reduces employment.

Fellowships & Awards

Humane Studies Fellowship, Institute for Humane Studies, 2025–2026
J. Robert Beyster Fellowship, Rutgers University, 2024
National Science Foundation, Graduate Research Fellowship, 2023
Paul and Daisy Soros Fellowship for New Americans, 2022
John T. Dunlop Prize (for top thesis in business and government), Harvard College, 2020
Thomas Temple Hoopes Prize (for exceptional theses), Harvard College, 2020
National Federal Reserve Challenge, 2nd place, 2017 and 2019
National Top Speaker, High School Policy Debate, National Speech and Debate Association. 2016

Teaching

The Financial System and the Central Bank, Harvard College, Professor Jeremy Stein, 2024
Managing and Innovating in Financial Services, Harvard Business School, Professor David Scharfstein, 2024
Low Interest Rates, Secular Stagnation and Macroeconomic Policy, Harvard College, Professor Lawrence Summers, 2020
Intermediate Macroeconomics, Harvard College, Professor Christopher Foote, 2020
Advanced Econometrics, Harvard College, Professor Elie Tamer, 2019

Employment

Federal Reserve Board of Governors (Supervision & Regulation), Ph.D. intern, 2023–2025
Goldman Sachs, U.S. Economics Research Summer Ph.D. Associate (Jan Hatzius), 2022
Goldman Sachs, U.S. Economics Research Analyst (Jan Hatzius), 2020–2021

Research Assistance

Research Assistant for Professor Kenneth Rogoff, Harvard University, 2020
Research Assistant for Professor Lawrence Summers, Harvard University, 2018–2020

Academic Service

Referee: *Quarterly Journal of Economics*, *AER Insights*
Mentorship: Harvard College Federal Reserve Challenge team; Charles River Economic Labs (Harvard College Economics consulting club); Harvard and MIT Application Assistance and Mentoring Program

Languages

English (native); Romanian (native); Spanish (fluent); French (proficient); Portuguese (intermediate); Mandarin Chinese (beginner)

Software Skills

Python, Stata, Matlab, R, EViews

Citizenship

United States, European Union (Romania)